KCB Making the Difference

KCB INVESTOR PRESENTATION
FULL YEAR 2014
GROUP FINANCIAL RESULTS

2014 Review

54M transactions (31.5M on alternative channels) valued at KShs. 7.8T, being 1.5 Times Kenya's GDP

POS up 75% to 16,000

KCB Mtaani

Agency Transactions up 135% to 3.3M

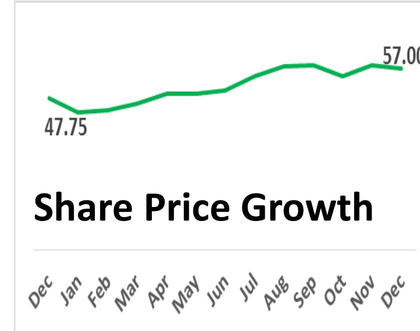
Milestones in 2014

KShs. 589M Mobile Loans

KCB M-Benki

Biashara Smart Launch

1.1M Inbound Customer calls



EMV Migration

Launched 3rd Sustainability Report

KCB Insurance

Over 300% Growth

KShs. 1 Billion on Foundation Programmes

MIFUGO NI MALI
A KCB FOUNDATION PROGRAMME

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OVERVIEW OF THE MARKET AND INDUSTRY IN 2014

KENYA OVERVIEW

Rebasing	The revised GDP was higher by 25.3% to KShs 4.76 trillion; GDP per capita is USD 1,246
Eurobond	Kenya issued a $500 million five-year bond paying a coupon of 5.875% and $1.5 billion of 10-year bond at 6.875%. The issue attracted bids four times its initial target
GDP	Kenya's GDP grew at an estimated 5.3% in 2014, compared to a revised growth of 5.7% in 2013
Currency	Regional currencies experienced pressure against the US dollar with the Kenya shilling depreciating least after trading at an average of KShs 90.4 in December 2014, compared to an average of KShs 86.3 in December 2013
Remittances	In 2014, remittance inflows to Kenya increased by USD 137 million or (11%) to USD 1,428.5 million compared with USD 1,290.6 million in 2013

Source: WB, IMF

KENYA OVERVIEW cont…

Inflation	Declined from 7.15% in December 2013 to 6.02% in December 2014
Security	The Government has invested in technology and manpower including partnerships with the private sector to roll out security infrastructure
KBRR	The rate was set at 9.13% effective 8th July 2014 and was revised to 8.54% effective 14th January 2015
Interest Rate	Average lending rate for the banking sector has been on a downward trend; declining from 16.9% in July 2014 to 15.9% in December 2014
Regulations	• New Prudential Ratios: • Core Capital 10.5% • Total Capital 14.5%

Source: WB, IMF

REGIONAL MARKET OVERVIEW

Tanzania	Tanzania's GDP growth has been impressive averaging 6.7% between 2009 and 2013. Real GDP is projected to grow by 7.0% in 2014
South Sudan	• Civil strife casting a shadow over the prospects for economic recovery and development • The declining global oil prices have also affected South Sudan's oil-dependent economy
Uganda	Uganda economy registered a Real GDP growth of 5.5% in 2014 compared to a growth of 4.5% in 2013 as indicated in the rebased GDP growth statistics
Rwanda	The Rwandan economy continues to recover from the 2013 economic slowdown, registering real GDP growth of 7.8% in 2014 Q3 compared to 2.9% recorded in 2013 Q3
Burundi	The economy is estimated to have recorded a GDP growth of 5.3% in 2014, compared with a growth of 4.6% in 2013 and 4.2% in 2012

Source: WB, IMF

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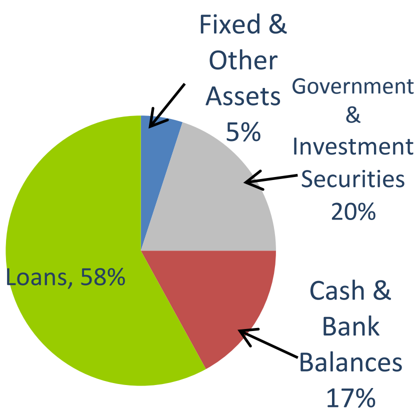
2014 FINANCIALS

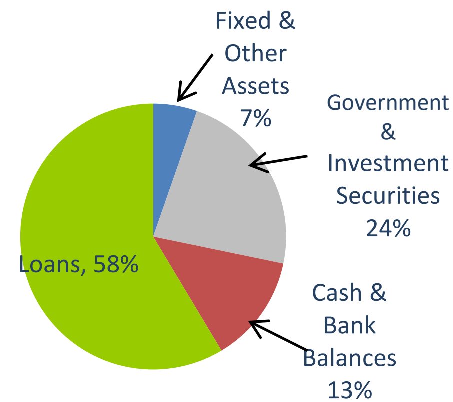
CONSOLIDATED STATEMENT OF FINANCIAL POSITION (KSHS. MN.)

	ACTUAL DEC 2014	ACTUAL DEC 2013	% Y-O-Y CHANGE
ASSET PORTFOLIO			
Cash and balances with Central Bank	47,064	23,933	97%
Balances with other institutions	37,572	20,409	84%
Investments in Government securities	96,333	90,938	6%
Investment securities	865	2,058	-58%
Net loans and advances	283,732	227,722	25%
Fixed assets	10,351	10,030	3%
Other assets	14,420	15,761	-9%
Total Assets	**490,338**	**390,852**	**25%**

DECEMBER 2014

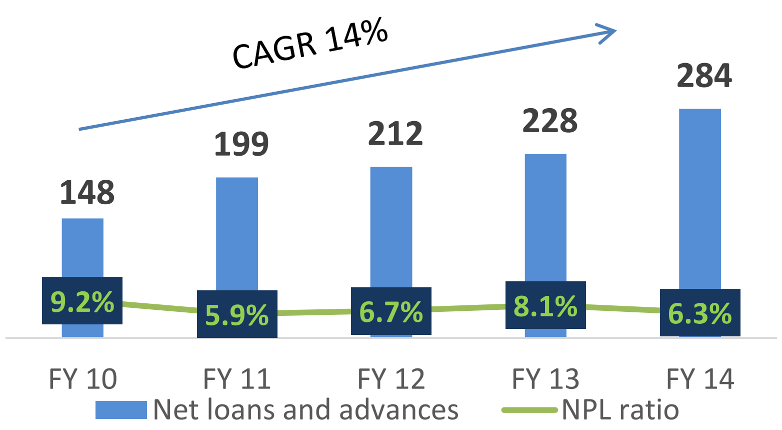


DECEMBER 2013



GROWTH IN LOAN BOOK

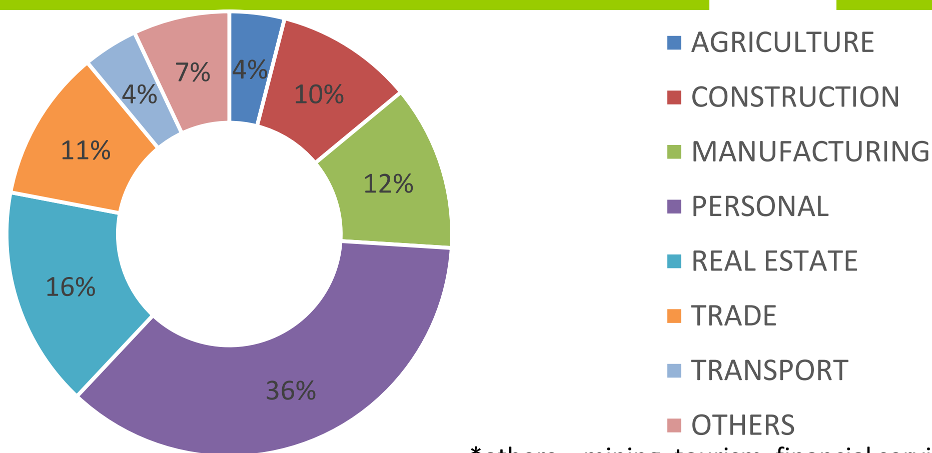
Net Loans & Advances (KShs. Bn)



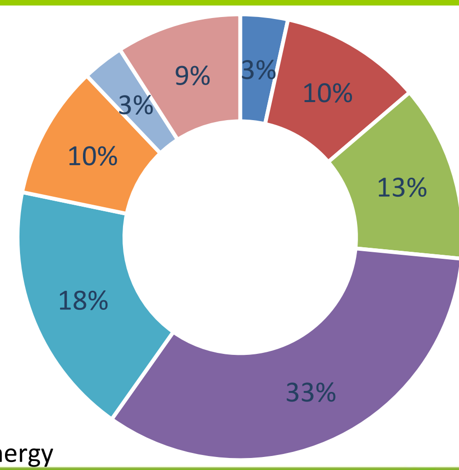
Key Highlights

- Year on year 2013-2014 the loan book grew by 25% supported by a steady credit appetite
- NPL has reduced significantly year on year 2013-2014 from 8.1% to 6.3%

Loan segmentation - 2014



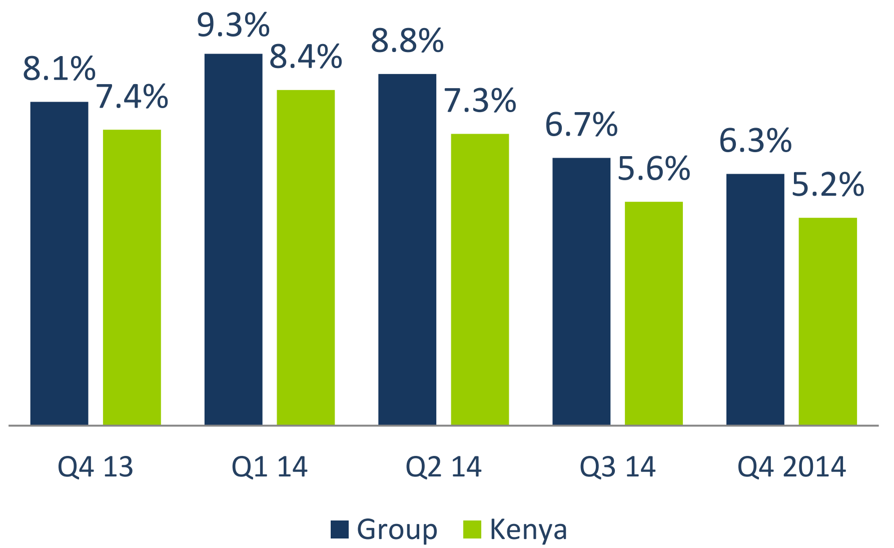
Loan segmentation - 2013



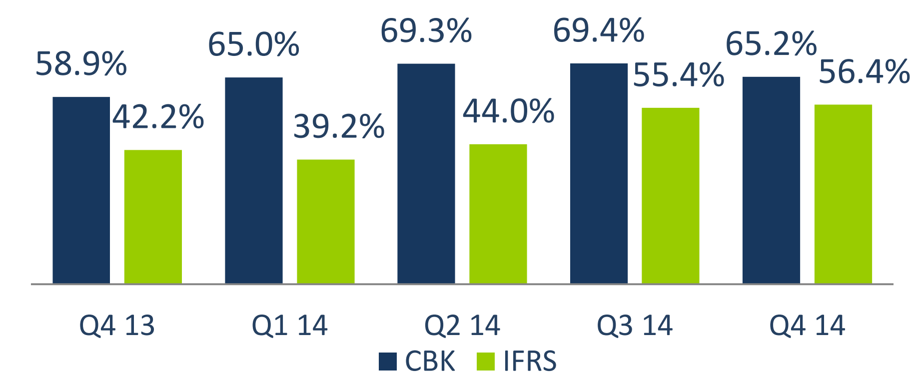
*others – mining, tourism, financial services & Energy

REDUCTION IN NPL SIGNIFYING SOUND ASSET QUALITY

NPL Ratio



Coverage Ratio



- Increased coverage ratio as a result of prudence in cash flow estimates

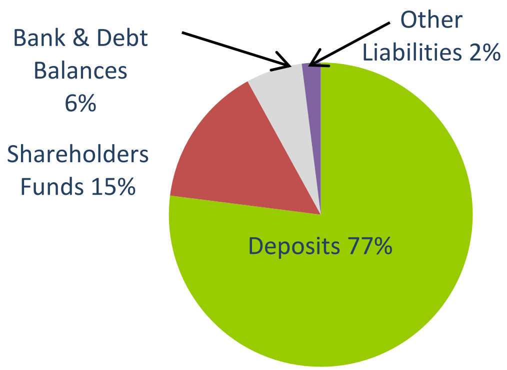
Key Highlights

- Overall NPL ratio down 180 bps
- Increased coverage ratio as a result of higher provisions and prudence in cash flow estimates

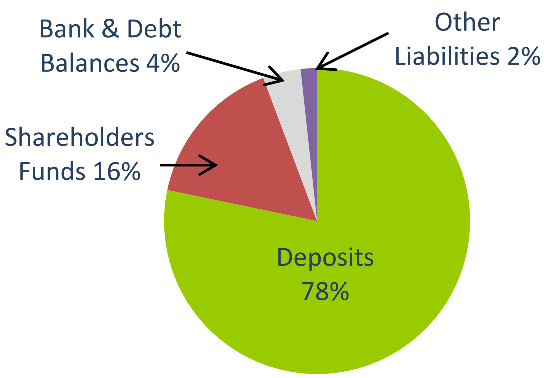
CONSOLIDATED STATEMENT OF FINANCIAL POSITION (KSHS. MN.)

	ACTUAL DEC 2014	ACTUAL DEC 2013	% Y-O-Y CHANGE
FUNDING PORTFOLIO			
Customer Deposits	377,272	305,659	23%
Balances due to other banks	14,194	6,651	113%
Other liabilities	11,208	7,467	50%
Long-term debt	12,735	7,720	65%
Total Liabilities	**415,409**	**327,497**	**27%**
Share capital	3,025	2,984	1%
Reserves and premium	71,904	60,371	19%
Shareholders' Equity	**74,930**	**63,355**	18%
Total Liabilities and Equity	**490,338**	**390,852**	**25%**

DECEMBER 2014

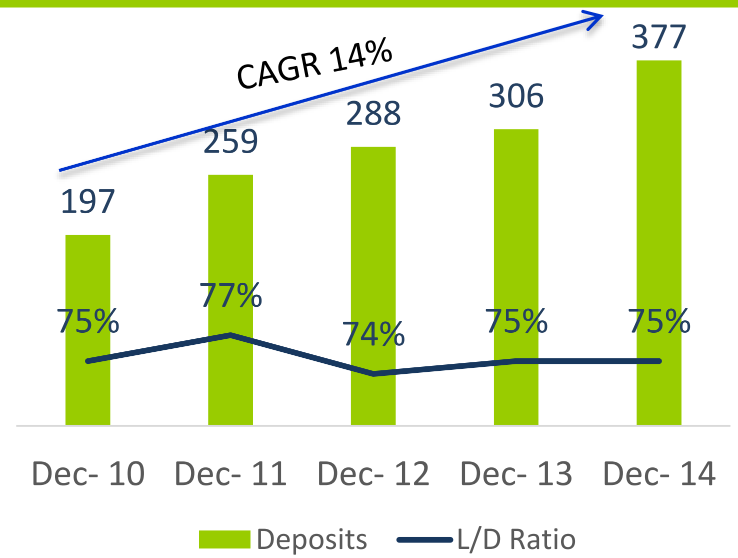


DECEMBER 2013

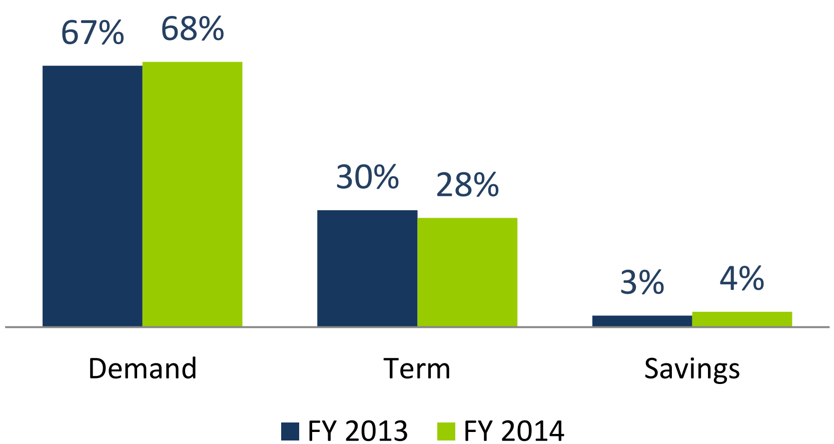


4.1 MILLION CUSTOMERS DRIVING GROWTH OF DEPOSITS

Customer Deposits Growth (KShs.Bn)



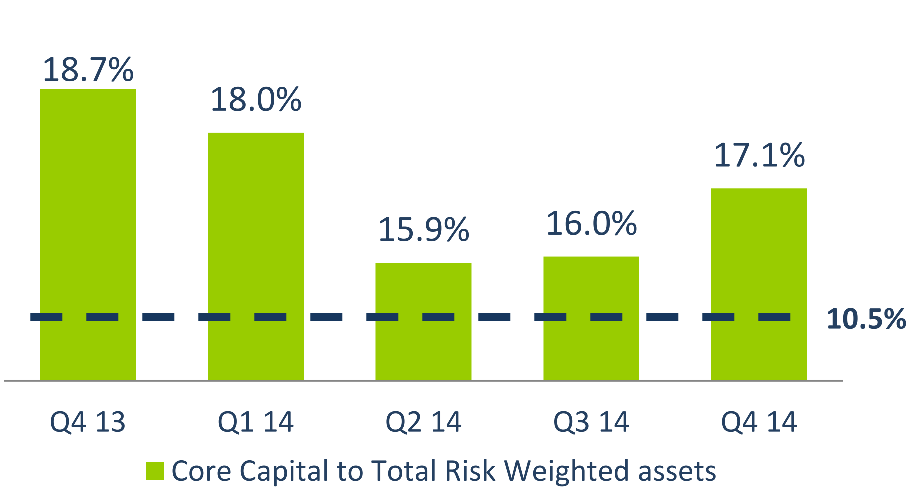
Deposits by Type



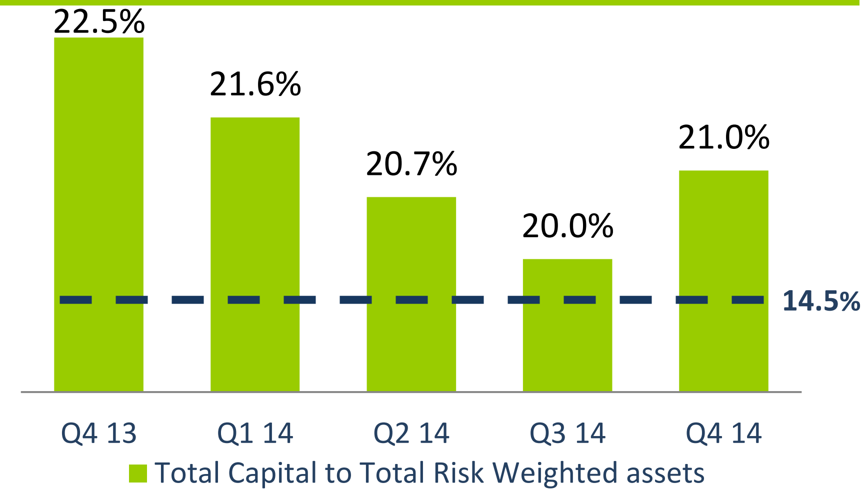
- Steady LD ratio of 75%
- Improvement in savings accounts by 1%
- Growth in deposits for the Group year on year 2013-2014 was 23%
- Customer numbers grew from 2.5Mn in 2013 to 4.1Mn in 2014.

CAPITAL ADEQUACY

Core Capital/Total Risk Weighted Assets



Total Capital/Total Risk Weighted Assets



Liquidity Ratio

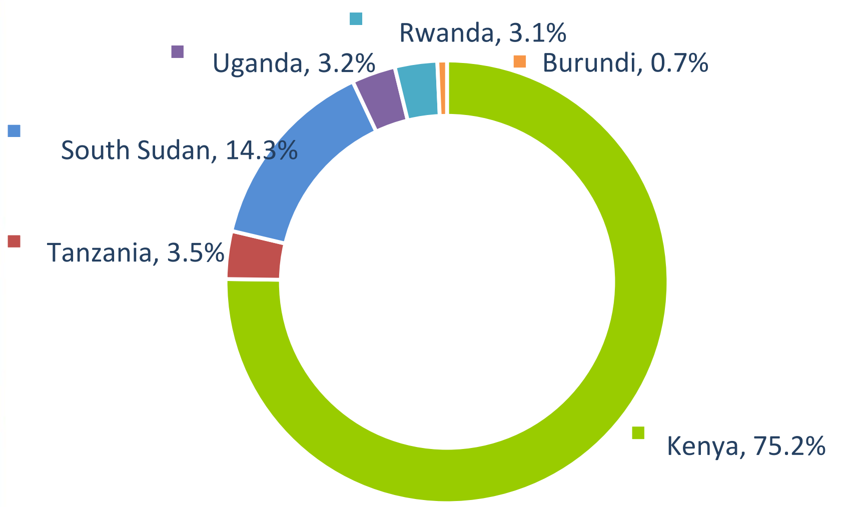
- The bank is fully compliant with new prudential guidelines

CONSOLIDATED STATEMENT OF PROFIT OR LOSS (KSHS. MN.)

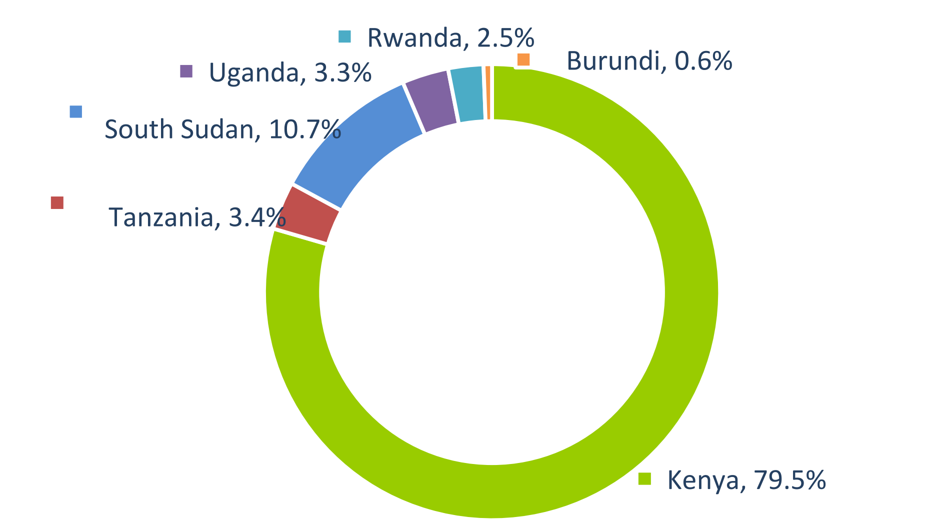
	ACTUAL DEC 2014	ACTUAL DEC 2013	Y-o-Y % Change
Net interest income	35,949	32,984	9%
Foreign exchange income	4,150	3,710	12%
Gross fees and commissions	12,739	10,501	21%
Other income	2,541	1,005	>100%
Total operating income	**55,379**	**48,201**	15%
Total operating expenses	(28,504)	(27,081)	5%
Net provisions for bad debts	(3,088)	(996)	>100%
Profit before tax	**23,787**	**20,124**	**18%**
Tax	(6,939)	(5,782)	20%
Profit after tax	**16,848**	**14,342**	**17%**

CONSOLIDATION OF REGIONAL BUSINESSES

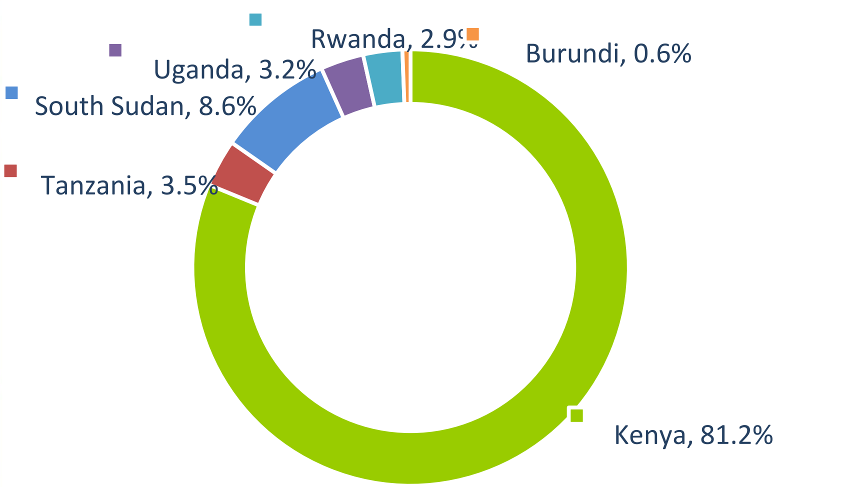
Total Assets Contribution Dec 2014



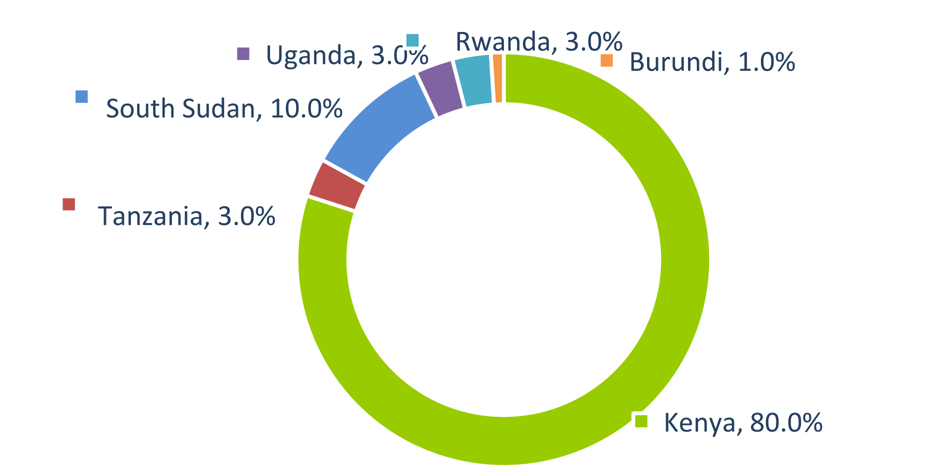
Total Assets Contribution Dec 2013



Total Revenue Contribution Dec 2014



Total Revenue Contribution Dec 2013



KEY STATISTICS AND PERFORMANCE RATIOS- FULL YEAR 2014

- Return on Average Assets 3.8%
- Return on Average Equity 24.2%
- Cost to Income 50.2%
- Gross NPL to Gross Loans 6.3%
- NFI to Total Income 38.0%
- Staff Costs to Total Income 24.1%
- Cost of funds 3.2%

- Net Interest Margin 9.7%
- Cost of Risk 1.8%
- Loan/Deposit ratio 75%
- Debt/Equity 16.8%
- Growth of Net Loans & Advances 25%
- Growth of Customers Deposits 23%
- Growth of Profit Before Tax 18%

KEY DRIVERS AND OUTLOOK

Business Drivers

Enhancing Financial inclusion to **10 million customers**

Building partnerships in the telecommunication, transport and energy sectors and with governments across the region

Increase **SME contribution to 20%** of loan book in two years

Increase micro lending to **3 million loans**

Race to **a million homes** through our affordable mortgage proposition

Integrated product/service offering on bancassurance, investment banking, brokerage services

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Business Drivers cont…

Triple mobile transactions and agency footprint to enhance our digital payments

T24 refresh to increase reliability and capacity to over 25 million customers

Improved efficiencies: managing the cost to income ratio and loan quality

Raising long term **capital**

Consolidating operations in the 6 countries

New Market consideration to **Eastern DRC, Ethiopia and Somalia**

Outlook Ratios

4.0% ROA	3.5 - 3.6% CoF
26% ROE	9.5 – 10.0% NIMs
48% CTI	1.5% CoR
5.5% NPL	18% Loan Growth
40.3% NFI/TI	20% Deposit Growth

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